

interest and competition of other buyers. It might also cause some of those who have been planning to sell to hold their shares off the market with the hope that the rise might continue. What then should a large buyer do to meet this situation?

He should go to his broker or securities dealer. He should disclose to him exactly how much stock he desires to buy. He should tell the broker to pick up as much stock as possible but authorize him to pass up small offerings if buying them would arouse many competitive bids. Most important, he should give his broker a completely free hand on price up to a point somewhat above the most recent sale. How much above should be decided in consultation with the broker or dealer after taking into account such factors as the size of the block desired, the normal activity of the shares, how eager the investor may be for the holding, and any other special factors that might be involved.

The investor may feel he does not have a broker or dealer upon whom he may rely as having sufficient judgment or discretion to handle something of this sort. If so, he should proceed forthwith to find a broker or dealer in whom such confidence can be placed. After all, doing exactly this sort of thing is the primary function of a broker or the trading department of a securities dealer.